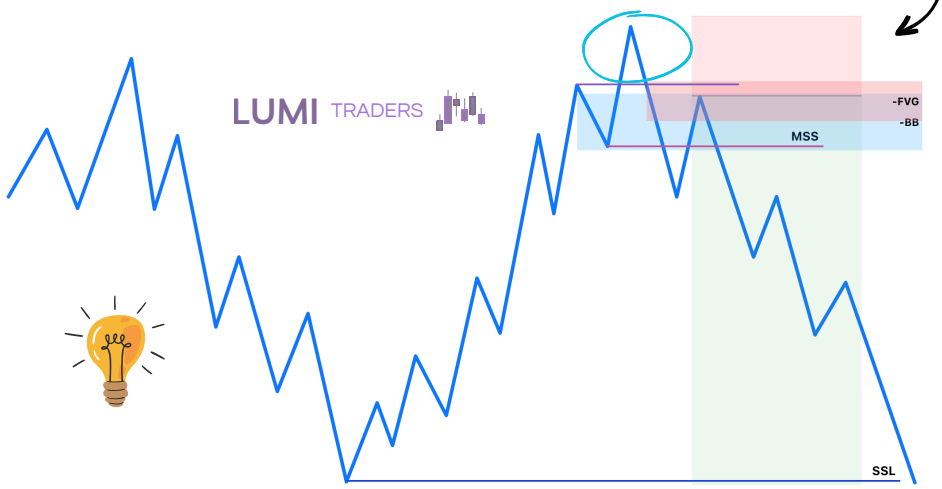
ICT Turtle Soup

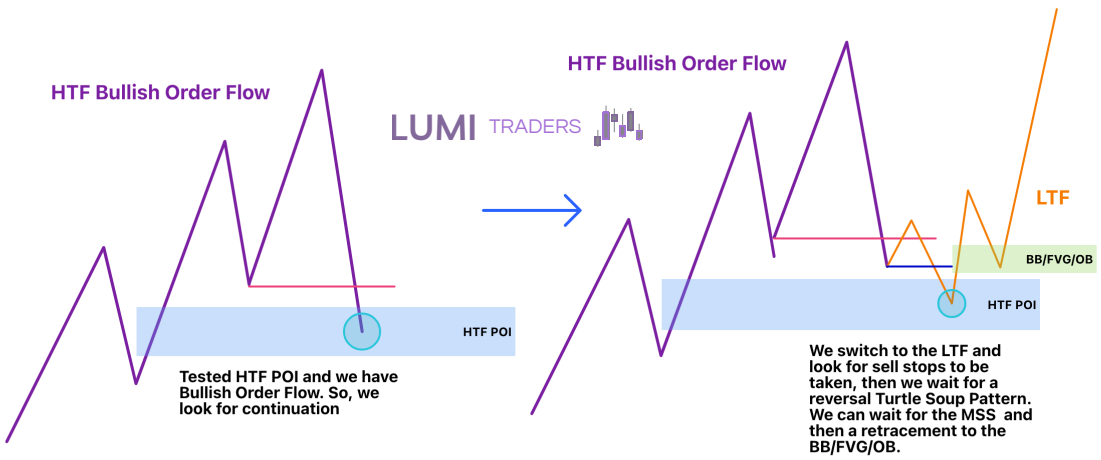
Identifying high liquidity levels is crucial for successful trades using the Turtle Soup strategy. It is not enough to simply trade above any old high or below any old low. Traders must focus on levels of liquidity where there is a significant amount of buying or selling pressure.

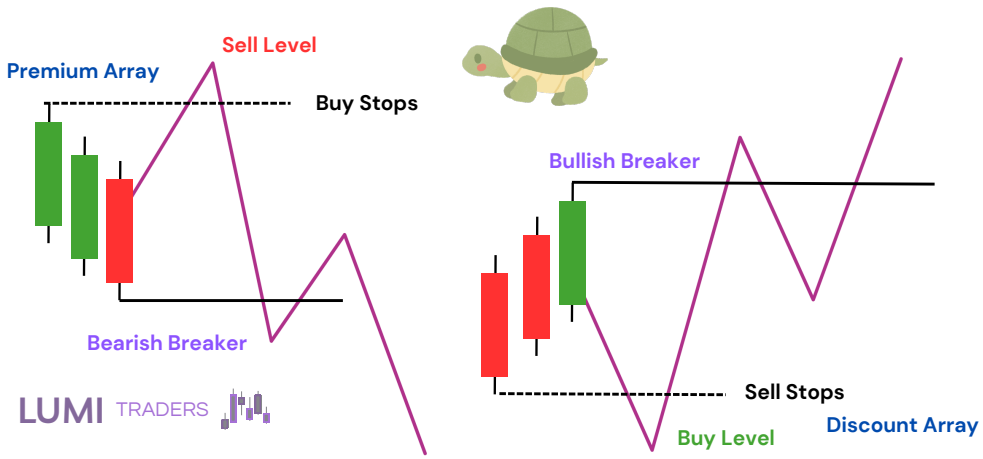
Analyzing charts to spot old highs with high liquidity

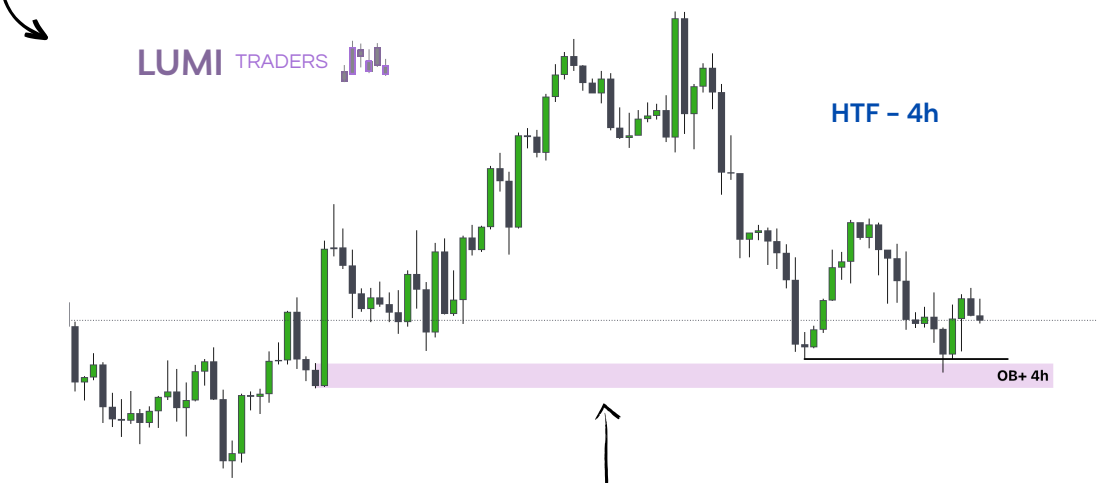
1. Look for order blocks: Order blocks are areas on the chart where there is a significant concentration of orders. These areas often indicate high liquidity levels.
2. Identify fair value gaps: Fair value gaps occur when there is a price difference between the current market price and the fair value price. These gaps can provide insights into liquidity levels and potential market movements.
3. Consider higher time frames: Analyzing higher time frames, such as 15-minute or 1-hour charts, can give us a broader perspective on liquidity levels. Look for patterns and confluences across multiple time frames to strengthen your analysis.
4. Pay attention to relative equal lows: Relative equal lows occur when the market reaches similar price levels multiple times. These lows indicate a potential support level and can be used as a reference for selling above old highs.

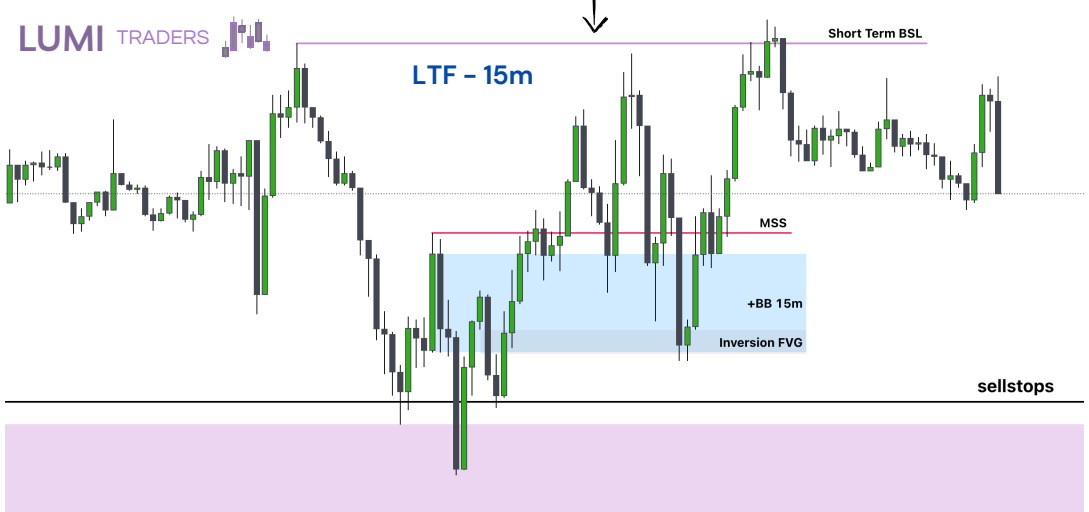
Turtle soup is a trading concept in the context of Inner Circle Trader's teachings. It refers to a pattern where price breaks a short-term high or low, giving the impression that it will continue in that direction, but then reverses and moves the other way. This pattern is used to identify potential trading opportunities by anticipating the reversal after the initial breakout. In a turtle soup pattern, traders don't necessarily need a shift in market structure, as they are trading external range liquidity.

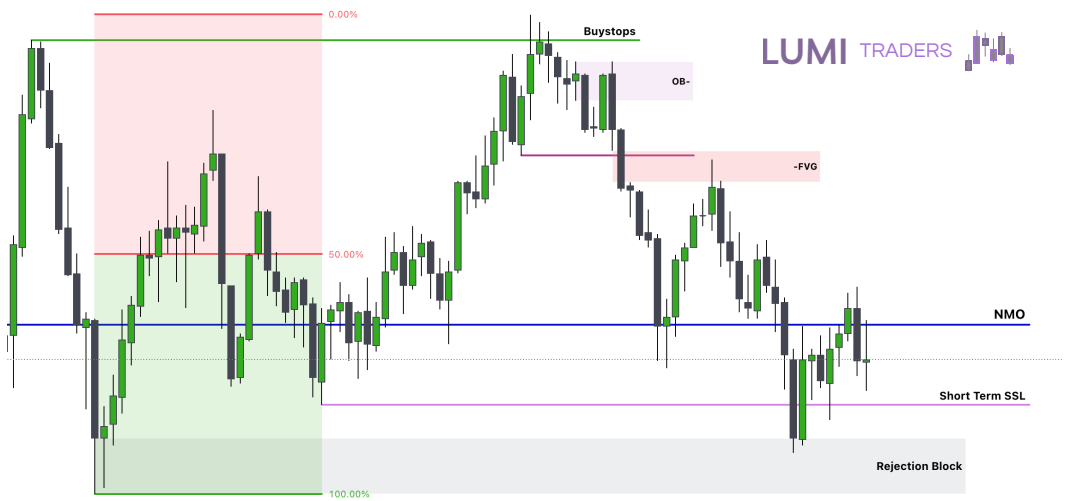












lumitraders.com

CHECK LIST

1. Higher Time frame PDA
2. In A Premium/Discount of Dealing Range
3. Runs Equal highs/lows or Daily high/low
4. Immediately Rejection of price
5. Above/below Midnight Open